‘India’s sovereign external debt to GDP is among the lowest globally at less than 5 per cent. The government would start raising a part of its gross borrowing programme in external markets in external currencies. This will also have beneficial impact on demand situation for government securities in the domestic market.’

The finance secretary had indicated that 10 per cent of the annual bond-raising programme, or about Rs 70,000 crore ($10 billion), might be raised in the form of sovereign bonds. The announcement led to a protest by RBI, a number of economists including former RBI governors, and traditionalist outfits like the Swadeshi Jagran Manch. The issue was quietly buried in the latter part of financial year 2019–20.

Special Government Securities for Increasing Foreign Currency Flows

Budget 2020–21 sang a different tune. Arguing that it was necessary to encourage flow of external capital in India’s financial system to achieve aspirational growth, in para 100 (1) it announced that ‘certain specified categories of government securities would be opened fully for non-resident investors, apart from being available to domestic investors as well’.

RBI implemented this announcement on 30 March 2020, opening a ‘Fully Accessible Route’ (FAR) for investment by non-residents in government securities. FAR permitted any ‘person resident outside India’ to invest in ‘government securities as periodically notified by the Reserve Bank for investment under the FAR route’ (specified securities) without being subject to the limits for foreigners’ investment specified under the FPI route currently in operation. Essentially, new investments by FPIs in specified securities are subject to no caps. Even if 100 per cent of a specified security is subscribed to or purchased by non-residents, RBI would be fine with it.